
FINAL TERM EXAMINATION

ECO401- Economics

SOLVED MCQs

Question No: 1 (Marks: 1) - Please choose one

The concave shape of the production possibilities curve for two goods X and Y illustrates:

- ▶ Increasing opportunity cost for both goods.
- ▶ Increasing opportunity cost for good X but not for good Y.
- ▶ Increasing opportunity cost for good Y but not for good X.
- ▶ Constant opportunity cost for both goods.

Question No: 2 (Marks: 1) - Please choose one

When college students leave town for the summer, the demand for meals at the local restaurants decline. This results in:

- ▶ A decrease in equilibrium price and an increase in quantity of meal.
- ▶ An increase in equilibrium price and quantity of meal.
- ▶ A decrease in equilibrium price and quantity of meal.
- ▶ An increase in equilibrium price and a decrease in quantity of meal

Question No: 3 (Marks: 1) - Please choose one

A demand curve is price elastic when:

- ▶ Changes in demand are proportionately greater than changes in price.
- ▶ Changes in demand are equal to changes in price.
- ▶ None of the given options.
- ▶ Changes in demand are proportionately smaller than changes in price.

Question No: 4 (Marks: 1) - Please choose one

The numerical measurement of a consumer's preference is called:

- ▶ Use.
- ▶ Pleasure.

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- ▶ Utility.
 - ▶ Satisfaction.

Question No: 5 (Marks: 1) - Please choose one

Which of the following is TRUE about price-consumption curve for good X?

- ▶ Nominal income falls as the price of X falls.
- ▶ The absolute price of X falls, but the relative price between X and the composite good Y stays the same.
- ▶ It is always downward sloping for a normal good.
- ▶ It represents only those market baskets that are optimal for the given price ratio and preference pattern and therefore a demand curve can be plotted from it.

Question No: 6 (Marks: 1) - Please choose one

Marginal profit is equal to:

- ▶ Marginal revenue minus marginal cost.
- ▶ Marginal revenue plus marginal cost.
- ▶ Marginal cost minus marginal revenue.
- ▶ Marginal revenue times marginal cost.

Question No: 7 (Marks: 1) - Please choose one

The supply curve for a competitive firm is:

- ▶ Its entire marginal cost curve.
- ▶ The upward-sloping portion of its marginal cost curve.
- ▶ Its marginal cost curve above the minimum point of the average variable cost curve.
- ▶ Its marginal cost curve above the minimum point of the average total cost curve.

Question No: 9 (Marks: 1) - Please choose one

A market with few entry barriers and with many firms that sell differentiated products is:

- ▶ Purely competitive.
- ▶ A monopoly.

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- ▶ **Monopolistically competitive.**
 - ▶ Oligopolistic.

Question No: 10 (Marks: 1) - Please choose one

The market structure in which strategic considerations are most important is:

- ▶ Monopolistic competition.
- ▶ **Oligopoly.**
- ▶ Pure competition.
- ▶ Pure monopoly.

Question No: 12 (Marks: 1) - Please choose one

Consumption spending, investment expenditures, government expenditures and net exports are:

- ▶ The components of household income.
- ▶ The components of aggregate supply.
- ▶ **The components of aggregate demand** ▶

The components of government revenue.

Question No: 13 (Marks: 1) - Please choose one

Classical economics was replaced as the dominant theory of macroeconomic analysis by:

- ▶ Monetarism.
- ▶ Rational expectations.
- ▶ **Keynesian economics.**
- ▶ Neoclassical economics.

Question No: 16 (Marks: 1) - Please choose one

A source of fluctuations in investment spending is:

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- ▶ Changes in government expectations of future output growth.
 - ▶ Changes in household's expectations about future output growth.
 - ▶ Changes in household's expectations about future risk.
 - ▶ **Changes in investor's expectations about future profits.**

Question No: 17 (Marks: 1) - Please choose one

What does the term "balance of payment deficit" refer to?

- ▶ An increase in official international reserves.
- ▶ A positive statistical discrepancy.
- ▶ A negative statistical discrepancy.
- ▶ **A decline in official international reserves.**

Question No: 18 (Marks: 1) - Please choose one

M1 component of money supply consists of:

- ▶ Paper currency and coins.
 - ▶ **Paper currency, coins and check writing deposits.**
 - ▶ Paper currency, coins, check writing deposits and savings deposits. ▶
- Paper currency, coins, check writing deposits, savings deposits and certificates of deposits.

Question No: 19 (Marks: 1) - Please choose one

When one producer can produce a given amount of output with fewer inputs, which of the following would occur?

- ▶ Comparative advantage.
- ▶ Comparative disadvantage.
- ▶ **Absolute advantage.**
- ▶ Absolute disadvantage.

Question No: 20 (Marks: 1) - Please choose one

What would result from a depreciation of the pound on the foreign exchange market?

- ▶ **An increase in the price of imported computers.**
- ▶ A fall in the purchasing power of US tourists in London.
- ▶ A fall in the price of imported computers.

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- ▶ An increase in the purchasing power of UK tourists overseas.

Question No: 21 (Marks: 1) - Please choose one

The news on the television reports that the dollar has strengthened relative to the Japanese yen. This means that:

- ▶ **The dollar can now purchase more yen.**
- ▶ The US trade balance with the Japanese economy has improved.
- ▶ The yen can now purchase more dollars.
- ▶ The dollar has depreciated relative to the yen.

Question No: 22 (Marks: 1) - Please choose one

In Keynesian economics, if aggregate expenditures are less than aggregate output then:

- ▶ The price level rises.
- ▶ Inventories decrease.
- ▶ Employment decreases.
- ▶ **Aggregate output increases.**

Question No: 23 (Marks: 1) - Please choose one

In the Keynesian cross model, the aggregate expenditure line has a slope of:

- ▶ 1.
- ▶ 0.
- ▶ Infinity.
- ▶ **Less than 1.**

Question No: 24 (Marks: 1) - Please choose one

Demand is elastic when the elasticity of demand is:

- ▶ Greater than 0 but less than 1.
- ▶ **Greater than 1.**
- ▶ Less than 0.
- ▶ Equal to 1. [unit elastic](#)

Question No: 25 (Marks: 1) - Please choose one

Which of the following statements is TRUE about cartels?

- ▶ These are considered as part of monopolistic competition.
- ▶ these are organizations of independent firms, producing similar products, that work together to raise prices and restrict output.
- ▶ **these are organizations of interdependent firms, producing similar products, that work together to raise prices and restrict output.**
- ▶ These are organizations of independent firms, producing different products, that work together to raise prices and restrict output.

Question No: 26 (Marks: 1) - Please choose one

After the collusion, oligopolists are able to:

- ▶ Raise price but not restrict output.
- ▶ Raise price and restrict output but not attain the monopoly profit.
- ▶ **Raise price and restrict output and therefore attain the monopoly profit.**
- ▶ Restrict output but not raise price.

Question No: 27 (Marks: 1) - Please choose one

Which of the following statements is TRUE about the difference between nominal and real Gross Domestic Product (GDP)?

- ▶ Real GDP includes only goods; nominal GDP includes goods and services.
- ▶ **Real GDP is measured using constant base-year prices; nominal GDP is measured using current prices.**
- ▶ Real GDP is equal to nominal GDP less the depreciation of the capital stock.
- ▶ Real GDP is equal to nominal GDP multiplied by the CPI.

Question No: 28 (Marks: 1) - Please choose one

If production remains the same and all prices double, then which of the following will happen?

- ▶ Real GDP and nominal GDP will both remain constant.
- ▶ Real GDP will remain constant and nominal GDP will reduce by half.
- ▶ **Real GDP will remain constant and nominal GDP will double.**
- ▶ Real GDP will double and nominal GDP will remain constant.

Question No: 30 (Marks: 1) - Please choose one

Firm A produces cotton worth Rs. 1000 and sells it to firm B. From this, firm B makes yarn worth Rs. 1500 and sells to firm C. Firm C manufactures cloth worth Rs. 2500 and sells to consumers. The value added is:

▶ **1000+1500+2500 = Rs. 5000**

▶ 1000+500+2500 = Rs. 4000

▶ 1000+500+1000 = Rs. 2500

▶ 1000+1500+1000 =Rs. 3500

Question No: 31 (Marks: 1) - Please choose one

Which of the following is a transfer payment?

▶ Payment made to housewife.

▶ Pocket allowance to children.

▶ Maintenance allowance to old parents.

▶ **All of the given options.**

Question No: 32 (Marks: 1) - Please choose one

The relationship between hours provided by labor and wage rate is:

▶ **Positive.**

▶ Negative.

▶ Ambiguous.

▶ Very strong.

Question No: 33 (Marks: 1) - Please choose one

Market failure occurs when:

▶ Competitive markets do not achieve equitable outcomes.

▶ Competitive markets do not achieve efficient outcomes.

▶ Government takes steps to intervene in markets.

▶ **All of the given happen.**

Question No: 34 (Marks: 1) - Please choose one

A graph that depicts the relationship between the total quantity of goods and services demanded and the price level is known as:

▶ **Aggregate demand curve.**

▶ Average price level.

▶ Circular flow model.

▶ GDP curve.

Question No: 36 (Marks: 1) - Please choose one

Changes in aggregate demand can be caused by changes in: I.

Wages.

II. Raw materials costs.

III. Government spending.

IV. Government regulations that increase the cost of doing business.

▶ I, II, III, and IV.

▶ I and III only.

▶ I, III, and IV.

▶ **III only.**

Question No: 38 (Marks: 1) - Please choose one

Which of the following is TRUE?

▶ **$1 - \text{MPS} = \text{MPC}$**

▶ $1 + \text{MPS} = \text{MPC}$

▶ $1 / \text{MPS} = \text{MPC}$

▶ $1 \times \text{MPS} = \text{MPC}$

Question No: 40 (Marks: 1) - Please choose one

If the government wishes to achieve a fall in unemployment, which of the following policies should it adopt?

▶ Reduce the real value of income tax free allowances.

▶ Reduce government spending on capital projects.

▶ Raise Value Added Tax (VAT).

▶ **Start public job training programs.**

Question No: 41 (Marks: 1) - Please choose one

In the long run, sustained inflation is due to:

▶ A one-time increase in money growth.

▶ **A continuous increase in the money growth rate.**

▶ A continuous increase in aggregate demand.

▶ The rising price of oil.

Question No: 42 (Marks: 1) - Please choose one

The situation when a country imports more than it exports is known as:

▶ **A trade deficit.**

- ▶ A trade surplus.
- ▶ An expansion.
- ▶ A recession.

Question No: 43 (Marks: 1) - Please choose one

Public investment expenditure for highways, schools, and national defense is included in which component of GDP?

- ▶ Consumption.
- ▶ Gross private investment.
- ▶ **Government purchases.**
- ▶ Public investment.

Question No: 44 (Marks: 1) - Please choose one

The government has a balanced budget if:

- ▶ **Its total revenues are equal to its total expenditures.**
- ▶ Its total revenues are less than its total expenditures.
 - ▶ Its total revenues are greater than its total expenditures.
 - ▶ The money supply is less than total expenditures.

Question No: 46 (Marks: 1) - Please choose one

A tax on individual's income is known as:

- ▶ Sales tax.
 - ▶ . Excise tax
 - ▶ Corporate income tax.
- ▶ **Personal income tax.**

Question No: 48 (Marks: 1) - Please choose one

In a period of boom, credit creation is:

- ▶ Small.
- ▶ **Heavy.**
- ▶ Unchanged.
- ▶ Zero.

Question No: 50 (Marks: 1) - Please choose one

To determine whether an economy's output is growing or shrinking, one must keep track of:

- ▶ Changes in nominal GDP.
- ▶ Changes in the growth rate of nominal GDP.
- ▶ Changes in the general price level.
- ▶ **Changes in real GDP.**

Question No: 51 (Marks: 1) - Please choose one

Suppose the price of rail tickets decreases, what will happen to the demand for airline travel?

- ▶ **The demand curve for airline travel shifts left.**
- ▶ The demand curve for airline travel shifts right.
- ▶ The supply curve of airline travel shifts left.
- ▶ The supply curve of airline travel shifts right.

Question No: 52 (Marks: 1) - Please choose one

Production possibilities curve will shift upward if there is:

- ▶ A reduction in unemployment.
- ▶ **An increase in the production of capital goods.**
- ▶ A reduction in discrimination.
- ▶ All of the given options.

Question No: 53 (Marks: 1) - Please choose one

Which of the following is NOT included in the perfect information assumption of perfect competition?

- ▶ Consumers know their preferences.
- ▶ Consumers know their income levels.
- ▶ Consumers know the prices available.
- ▶ **Consumers can anticipate price changes.**

Question No: 54 (Marks: 1) - Please choose one

Suppose a monopolist set his output at the level where marginal revenue, marginal cost and average total cost are equal. In this case, economic profit will be:

- ▶ Negative.
- ▶ **Positive.**
- ▶ Zero.
- ▶ Indeterminate from the given information.